

tify problem statements that can be solved by start-ups.

Many states have also incorporated a strong emphasis on gender diversity and inclusivity in their start-up policies. For instance, KSUM conducts programmes such as Kerala Women in Nano Startups (K-WINS) and hackathon InnovatHer. It is also planning an exclusive pre-incubation programme for early-stage women-led start-ups. KSUM also provides soft loans and productisation grants to women and transgender entrepreneurs.

The Karnataka government, meanwhile, runs a programme called Elevate Women Entrepreneurship that provides grant-in-aid

these efforts by providing support to early-stage companies through initiatives such as fund of funds and other financing programmes.

For instance, UP has created a ₹150-crore fund for direct investments and a ₹1,000-crore fund of funds, being managed by the Small Industries Development Bank of India (Sidbi). On the other hand, Odisha is in the final stages of establishing a ₹1,200-crore fund of funds while Kerala has set up a ₹1,000-crore fund of funds. And recently, Tamil Nadu launched an angel platform for the global Tamil diaspora to make investments in start-ups based in the state. It already has a ₹250-crore fund for start-ups. Karnataka, too,

ing, both public and private, needs further unlocking to tap into the true potential of this sector. “For the size of our country, we have an abysmally low number of angel investors whereas angel investments are giving high returns. A high-quality angel investor ecosystem brings money, mentoring and market access. This will enable high returns with low failure rates for investors, but will enable companies to create jobs and value. In summary, Indian start-ups can fuel India to a \$5-trillion economy,” she says.

What lies ahead is an enormous opportunity and India will be better equipped to fully realise the start-up potential if the government can iron

INDIA COULD FULLY REALISE THE START-UP POTENTIAL IF THE GOVERNMENT IRONS OUT REGULATORY ISSUES AND AMBIGUITY AROUND MATTERS SUCH AS TAXATION AND TREATMENT OF LTCG, SAY EXPERTS

to women-led start-ups without taking equity. The Karnataka Innovation and Technology Society has also selected seven agencies to run acceleration and incubation programmes exclusively for women-led start-ups. Nearly 100 women-led start-ups are being incubated/accelerated under this programme.

Coming back to Odisha, the state’s Startup Policy, launched in 2016, had a goal of having 33 per cent of start-ups led by women. According to Startup Odisha’s Rai, currently 43 per cent of registered start-ups in the state are run by women.

FUNDING START-UPS

While India continues to be a prime destination for private equity and venture capital investors, having garnered \$24 billion in 2022, state governments are complementing

announced a ₹100-crore fund last year. As for Maharashtra, it runs several funds—including the Maharashtra State Social Venture Fund, Maharashtra Defence and Aerospace Venture Fund and a dedicated fund for entrepreneurs from marginalised communities—all investing in start-ups.

According to the central government, the Fund of Funds for Start-ups (FFS)—launched under the Startup India initiative in 2016—has committed ₹7,385 crore to 88 alternative investment funds (AIFs) as of September 24, 2022. FFS was announced with a corpus of ₹10,000 crore. Collectively, the AIFs supported by FFS have a target corpus of more than ₹48,000 crore.

Industry veteran Padmaja Ruparel, Co-founder of Indian Angel Network, says that seed-stage fund-

out the regulatory issues and ambiguity around matters such as taxation of carried interest, treatment of long-term capital gains, restrictive foreign pricing rules and co-investment framework, and the use of convertible instruments, among others.

“India’s start-up ecosystem should be the global leader by 2047. It could well be the bedrock of innovation and entrepreneurship, the most enabling business environment and the home of value, wealth, and job creation. The government has taken a proactive stance to encourage start-ups and changed several policies and laws to create an enabling environment for them. But as they say, the more we do, the more there is to do,” says Ruparel, setting the tone for the future. **BT**

@binu_t_paul